VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

CONSOLIDATED AUDITED FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR 2023-2024

AUDITED BY:

RKAS & CO.

CHARTERED ACCOUNTANTS

Key Audit Matters

Key audit matters are those matters that, in our professional judgment and based on the consideration of the reports of the other auditors on separate financial statements and on the other financial information of the subsidiaries, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Information other than the Consolidated Financial Statements and Auditor's Report thereon

The Holding Company's Board of Directors are responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the consolidated financial statements and our auditor's report thereon.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

The accompanying consolidated financial statements have been approved by the Holding Company's Board of Directors. The Holding Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these consolidated financial statements that give a true and fair view of the consolidated financial position, consolidated financial performance including other comprehensive income, consolidated changes in equity and consolidated cash flows of the Group in accordance with the accounting principles generally accepted in India, including the Ind AS specified under section 133 of the Act. The respective Board of Directors / management of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated financial statements by the Directors of the Holding Company, as aforesaid.

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In preparing the consolidated financial statements, the respective Board of Directors of the companies included in the Group are responsible for assessing the ability of the Group to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intend to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

The Board of Directors of the companies included in the group are also responsible for overseeing the financial reporting process of the respective companies included in the Group.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with Standards on Auditing, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Holding Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management;

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern; and

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- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities within the Group, to express an opinion on the financial statements. We are responsible for the direction, supervision and performance of the audit of financial statements of such entities included in the financial statements, of which we are the independent auditors. For the other entities included in the financial statements, which have been audited by the other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

- We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

- We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

- From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matters

We did not audit the financial statements of **Virtual Galaxy Insurance Brokers Private Limited**, subsidiaries, whose financial statements / financial information reflects total assets **Rs.1,57,26,717** respectively as at 31st March, 2024, and total revenues of **Rs. 2,04,05,688 respectively** as considered in the consolidated financial statements. These financial statements / financial information have been audited by other auditors whose reports have been furnished to us by the Management and our opinion on the consolidated financial statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries, jointly controlled entities and associates, and our report in terms of sub-sections (3) and(11) of Section 143 of the Act, insofar as it relates to the aforesaid subsidiaries, jointly controlled entities and associates, is based solely on the reports of the other auditors.

Our opinion on the consolidated financial statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors and the financial statements / financial information certified by the Management.

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Report on Other Legal and Regulatory Requirements

As required by Section143 (3) of the Act, we report, to the extent applicable, that:

(a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit of the aforesaid consolidated financial statements.

(b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidated financial statements have been kept so far as it appears from our examination of those books and the reports of the other auditors.

(c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss, and the Consolidated Cash Flow Statement dealt with by this Report are in agreement with the relevant books of account maintained for the purpose of preparation of the consolidated financial statements.

(d) In our opinion, the aforesaid consolidated financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.

(e) On the basis of the written representations received from the directors of the Holding Company as on 31st March, 2024 taken on record by the Board of Directors of the Holding Company and the reports of the statutory auditors of its subsidiary companies, associate companies and jointly controlled companies incorporated in India, none of the directors of the Group companies, its associate companies and jointly controlled companies incorporated in India is disqualified as on 31st March, 2024 from being appointed as a director in terms of Section 164 (2) of the Act.

(f) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditor's) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

i. There were no pending litigations which would impact the consolidated financial position of the Group, its associates and jointly controlled entities.

ii. The Group, its associates and jointly controlled entities did not have any material foreseeable losses on long-term contracts including derivative contracts.

iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Holding Company, and its subsidiary companies, associate companies and jointly controlled companies incorporated in India.

Ashish Shahu
Partner
Membership No. 150960
For and on Behalf of
RKAS & CO
Chartered Accountants
FRN no. 135727W
UDIN: 24150960BKHABC5323
Dated the
22nd July, 2024

RKAS & CO. CHARTERED ACCOUNTANTS

"ANNEXURE B" TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE ON THE STANDALONE FINANCIAL STATEMENTS OF VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls over financial reporting of **M/s. Virtual Galaxy Infotech Private Limited** as of 31st March, 2024 in conjunction with our audit of the consolidated financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on

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the auditor's judgement, including the assessment of the risks of material misstatement of the Standalone financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Standalone financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of Standalone financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the Standalone financial statements.

Inherent Limitations of Internal Financial Controls over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

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Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st March, 2024, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India.

ASHISH SHAHU
Partner
Membership No. 150960
For and on Behalf of
RKAS & Co.
Chartered Accountants
FRN. 135727W
UDIN: **24150960BKHABC5323**
Nagpur, dated the
22nd of July 2024

RKAS & CO. CHARTERED ACCOUNTANTS

VIRTUAL GALAXY INFOTECH PVT. LTD.
Consolidated Balance Sheet as on 31st March 2024

PARTICULARS		Note No.	(Fig in ₹) 31st March 2024	(Fig in ₹) 31st March 2023
I.	**EQUITY AND LIABILITIES :**			
1	**SHAREHOLDERS' FUNDS**			
	Share Capital	2.01	11,00,01,600	11,00,01,600
	Reserves and Surplus	2.02	32,80,19,133	12,04,02,032
	Share Premium		-	97,66,680
	Sub-total		**43,80,20,733**	**24,01,70,312**
	Share Application Money Pending Allotment		42,85,010	-
	Minority Interest		22,50,000	23,50,002
3	**NON-CURRENT LIABILITIES**			
	Long-Term Borrowings	2.03	34,15,25,079	34,91,55,694
	Other Long-Term Liabilities	2.04	7,10,38,574	5,36,39,850
	Long Term Provisions	2.05	51,07,345	-
	Sub-total		**41,76,70,998**	**40,27,95,544**
4	**CURRENT LIABILITIES**			
	Short-Term Borrowings	2.06	4,48,71,390	3,93,54,795
	Trade Payable	2.07	10,78,58,599	9,24,23,770
	Other Current Liabilities	2.08	9,18,37,497	6,32,01,384
	Short-Term Provisions	2.09	6,26,05,258	1,36,42,000
	Sub-total		**30,71,72,744**	**20,86,21,949**
	TOTAL EQUITIES AND LIABILITIES		**1,16,93,99,485**	**85,39,37,807**
II.	**ASSETS:**			
1	**NON-CURRENT ASSETS**			
	Property, Plant & Equipment			
	Tangible Assets	2.10	18,90,51,686	47,27,43,626
	Goodwill			97,66,682
	Tangible Asset Under Development - WIP	2.10	30,49,05,997	-
	Intangible Assets	2.10	11,85,85,530	1,61,12,396
	Intangible Asset under Development - WIP	2.10	12,65,48,244	-
	Sub-total		**73,90,91,457**	**49,86,22,704**
	Non Current Investments	2.11	-	-
	Deferred tax Assets (Net)	2.12	1,32,212	6,04,048
	Long Term Loans and Advances	2.13	13,33,627	-
	Other Non Current Assets	2.14	2,06,14,510	6,08,400
	Sub-total		**2,20,80,349**	**12,12,448**
2	**CURRENT ASSETS**			
	Current Investments		-	-
	Inventories	2.15	10,76,618	7,39,584
	Trade Receivables	2.16	25,34,67,605	23,34,43,024
	Cash and Cash Equivalents	2.17	2,54,68,478	2,96,59,129
	Short-Term Loans and Advances	2.18	9,76,29,012	7,19,79,071
	Other Current Assets	2.19	3,05,85,966	1,82,81,847
	Sub-total		**40,82,27,679**	**35,41,02,655**
	TOTAL ASSETS		**1,16,93,99,485**	**85,39,37,807**
	Significant Accounting policies	1.00		

The notes referred to above form an integral part of the Financial Statements.
As per our Report Attached of even date.

Ashish Shahu
Partner
Membership No. 150960
For and on behalf of
RKAS & Co.
Chartered Accountants
FRN: 135727W

Nagpur, dated the
22nd July, 2024
UDIN: 24150960BKHABC5323

RKAS & CO. CHARTERED ACCOUNTANTS

For VIRTUAL GALAXY INFOTECH PVT. LTD.

A. N. Shende
Director
DIN- 02179381

S.P. Pande
Director
DIN- 02181154

A. V. Padhye
COMPANY SECRETARY

VIRTUAL GALAXY INFOTECH PVT. LTD.
Consolidated Profit and Loss for the year ended 31st March 2024

PARTICULARS		Note No.	(Fig in ₹) 31st March 2024	(Fig in ₹) 31st March 2023
I.	Revenue from operations	2.20	63,50,45,143	59,68,03,209
II.	Other income	2.21	7,21,241	8,43,621
III.	Total Income (I + II)		**63,57,66,384**	**59,76,46,830**
IV.	**LESS : EXPENDITURE**			
	Cost of Material Consumed	2.22	20,03,57,331	32,20,98,783
	Changes in inventories of stock-in-trade	2.23	(3,37,034)	(2,84,404)
	Employee benefit expenses	2.24	8,16,87,751	11,13,01,500
	Finance costs	2.25	2,47,58,835	2,70,86,166
	Depreciation and amortization expenses	2.26	6,00,45,823	6,03,17,627
	Other Expenses	2.27	4,34,37,881	4,39,62,087
	Total Expenses		**40,99,50,587**	**56,44,81,759**
V.	Profit before exceptional and extraordinary items and tax		**22,58,15,797**	**3,31,65,071**
VI.	Exceptional items		-	-
VII.	Profit before extraordinary items and tax (V - VI)		**22,58,15,797**	**3,31,65,071**
VIII.	Extraordinary items		-	-
IX.	Profit before tax (VII - VIII)		**22,58,15,797**	**3,31,65,071**
X.	Tax expense :			
	a) Current tax expenses		**6,20,08,478**	**1,36,42,000**
	b) Current tax relating to prior years (net)		-	-
	c) Deferred tax charge/(credit)	2.12	(99,730)	(2,46,785)
	Net tax expenses/(benefit)		6,19,08,748	1,33,95,215
XI.	Profit / (Loss) for the period from continuing operations (IX-X)		**16,39,07,049**	**1,97,69,856**
XII.	Profit / (loss) for the period (XI + XIV)		**16,39,07,049**	**1,97,69,856**
XIII.	Earning per equity share :	2.31	**14.90**	**1.80**

As per our Report Attached of even date.

Ashish Shahu
Partner
Membership No. 150960
For and on behalf of
RKAS & Co.
Chartered Accountants
FRN: 135727W

RKAS & CO. CHARTERED ACCOUNTANTS

Nagpur, dated the
22nd July, 2024
UDIN: 24150960BKHABC5323

For VIRTUAL GALAXY INFOTECH PVT. LTD.

A. N. Shende
Director
DIN- 02179381

S.P. Pande
Director
DIN- 02181154

A. V. Padhye
COMPANY SECRETARY

VIRTUAL GALAXY INFOTECH PVT. LTD.
CONSOLIDATED CASH FLOW STATEMENT AS ON 31ST MARCH 2024

(Fig in ₹)

Sr.No	Particulars	As at 31st March 2024	As at 31st March 2023
		Amount (Rs.)	Amount (Rs.)
1	Cash Flow Operating activities		
	(a) Net Profit/ (Loss) before exceptional items and taxes	22,58,15,797	3,31,65,071
	Adjustments :		
	Depreciation & amortization	6,00,45,823	6,03,17,627
	Interest and Finance costs	2,47,58,835	2,70,86,166
	Interest income	(4,78,589)	(4,46,745)
	(Profit)/Loss on Sale of Fixed Assets	-	-
	Operating Profit before Working Capital changes	31,01,41,866	12,01,22,119
	(b) Working capital changes :		
	- (Increase)/Decrease in Inventories	(3,37,034)	(2,84,404)
	- (Increase)/Decrease in Trade Receivables	(2,00,24,581)	(11,16,84,110)
	- (Increase)/Decrease in Short Term Loans & Advances	2,56,49,941	(1,08,45,262)
	- Increase/(Decrease) in Trade Payables	1,54,34,829	6,16,64,465
	- Increase/(Decrease) in Other Current Liabilities	2,86,36,113	32,18,147
	- (Increase)/Decrease in Other Current Assets	(1,23,04,119)	(17,98,438)
	- Increase/(Decrease) in Long Term Liabilities	(76,30,615)	6,27,13,497
	- Increase/(Decrease) in Other Long Term Liabilities	1,73,98,724	5,27,74,490
	- Increase/(Decrease) in Short Term Borrowings	55,16,595	(3,92,60,968)
	- Increase/(Decrease) in Short Term Provisions	5,35,42,827	49,72,000
	- (Increase)/Decrease in Long Term Loans & Advances	(13,33,627)	22,980
	- Increase/(Decrease) in Long Term Provisions	51,07,345	-
	Net cash from Operating Activities	41,97,98,264	14,16,14,516
	Less: Tax Paid	(6,20,08,478)	(1,33,95,215)
	Net cash from Operating Activities	35,77,89,786	12,82,19,301
2	Cash Flow from Investing Activities		
	(a) Increase in Fixed Assets	(32,19,79,091)	(9,30,34,558)
	(b) (Increase)/Decrease in Other Non-current assets	(2,00,06,110)	(64,79,089)
	(c) (Increase)/Decrease in Other Non-current Investments	-	-
	(d) Interest Received	4,78,589	4,46,745
	(e) (Increase)/Decrease in Other Current Investments	-	(62,55,284)
	Net cash from Investing Activities	(34,15,06,612)	(10,53,22,186)
3	Cash Flow from Financing Activities		
	(a) Increase/(Decrease) in Long Term Borrowings	-	-
	(b) Increase/(Decrease) in Share Application Money Pending Allotment	42,85,010	-
	(c) Interest and other Finance costs	(2,47,58,835)	(2,70,86,166)
	Net cash from Financing Activities	(2,04,73,825)	-
	Net increase/(decrease) in cash and cash equivalents	(41,90,651)	2,28,97,115
	Add : Cash and cash equivalents at the beginning of the period	2,96,59,129	67,62,014
	Cash and cash equivalents at the end of the period	2,54,68,478	2,96,59,129

NOTES
1 . The above statement has been prepared following Indirect Method as per AS - 3.
2 . Proceeds of long term and other borrowings are shown net of repayments.
3 . Cash and Cash Equivalents represent Cash, Fixed deposits and Bank Balances only.

Ashish Shahu
Partner
Membership No. 150960
For and on behalf of
RKAS & Co.
Chartered Accountants
FRN: 135727W

RKAS & CO. CHARTERED ACCOUNTANTS

For VIRTUAL GALAXY INFOTECH PVT. LTD.

A. N. Shende
Director
DIN- 02179381

S. P. Pande
Director
DIN- 02181154

Nagpur, dated the 22nd July, 2024
UDIN: 24150960BKHABC5323

A. V. Padhye
COMPANY SECRETARY

Note 1

Notes forming part of consolidated financial statements for the year ended March 31st, 2024

COMPANY INFORMATION

Holding Company

M/s. Virtual Galaxy Infotech Private Limited

Subsidiary Company

M/s. Virtual Galaxy Insurance Brokers Private Limited

SIGNIFICANT ACCOUNTING POLICIES:

NOTE I: Accounting policies adopted by the Company

Basis of preparation of financial statements

These Consolidated financial statements are prepared in accordance with Indian Generally Accepted Accounting Principles (GAAP) under the historical cost convention on accrual basis except for certain financial instrument which are measured at fair values. GAAP comprises mandatory accounting standards as prescribed under section 133 of the Companies Act 2013 (the Act) read with Rule 7 of the Companies (Accounts) Rules, 2014, the provisions of the Act(to extent notified). Accounting policies have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires change in the accounting policy hitherto in use.

Presentation of financial statements

The Balance sheet and the statement of Profit and loss are prepared in the format prescribed in the Schedule III of the Companies Act 2013. The Cash Flow statement has been prepared and presented as per the requirements of Accounting Standard (AS) 3 "Cash Flow Statements". The disclosure requirements with respect to items in the Balance Sheet and Statement of Profit and Loss, as prescribed in the Schedule III to the Act, are presented by way of notes forming part of accounts along with the other notes required by the notified Accounting Standards.

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Use of Estimates

The preparation of the consolidated financial statements in conformity with Indian GAAP requires the Management to make estimates and assumptions considered in the reported amounts of assets and liabilities (including contingent liabilities) and the reported income and expenses during the year.

The Management believes that these estimates are prudent, reasonable and are based upon the Management's best knowledge of current events and actions. Actual results could differ from these estimates and differences between actual results and estimates are recognized in the periods in which the results are known or materialized.

Estimates and underlying assumptions are reviewed on a ongoing basis. Revisions to accounting estimates are recognized in and from the period in which the estimate gets revised.

This note provides an overview of the areas that involve a higher degree of judgment or complexity and of items which are more likely to be materially adjusted due to estimates and assumptions turning out to be different than those originally assessed.

The following significant accounting policies are adopted in the preparation of these financial statements:

1. **Revenue recognition**
   (a) Sales are recognized when goods are supplied and are recorded net of discounts. Sales revenues are presented net of value added taxes in the statements of profit and loss.
   (b) Income from other receipts is recognized on its completion and on its acceptance by the customers.
   (c) Dividend income is accounted for in the year in which the right to receive the same is established.
   (d) Interest income is recognized using the time proportion method, based on rates implicit in the transaction.

2. **Fixed Assets**

   Tangible assets shown under gross block are valued at cost of acquisition inclusive of inward freight, duties, taxes and other incidental expenses related to its acquisition. All such direct costs are capitalized when the tangible assets are ready for use. Management has capitalized the cost of software development incurred on V-Pay. In fixed Asset it is shown under software development of V-Pay.

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3. **Foreign currency transactions and translations**

Transactions in foreign currencies entered into by the Company are accounted at the exchange rates prevailing on the date of the transaction or at rates that closely approximate the rate at the date of the transaction. Monetary assets and liabilities denominated in foreign currency are restated at the exchange rate prevalent on the Balance Sheet date and gain/ loss on such restatement is charged to the Statement of Profit and Loss.

4. **Depreciation and amortization**

(a) Depreciation on tangible assets has been calculated in accordance with the Schedule II of the Companies Act,2013 as under:

(i) All assets on written down value basis.

(ii) Management has not charged the depreciation to the Software Development called V – Pay, since it is in developing stage.

5. **Impairment of assets**

An impairment loss if any is charged to the statement of profit and loss in the year in which an asset is identified as impaired.

6. **Investments**

Valued at cost, exclusive of dividend/interest reinvested thereon.

7. **Inventories**

Trading and other goods are valued at cost or net realizable value, whichever is lower.

8. **Earnings per Share**

Basic earnings per share is computed by dividing the profit / (loss) after tax (including the post-tax effect of extraordinary items, if any) by the weighted average number of equity shares outstanding during the year

R K A S & CO. CHARTERED ACCOUNTANTS

9. Taxes on Income

Income Taxes are accounted for in accordance with Accounting Standard 22 on "Accounting for Taxes on Income", (AS 22) issued by The Institute of Chartered Accountants of India. Tax expense comprises both current tax and deferred tax. Current tax is measured at the amount expected to be paid or recovered from the tax authorities using the applicable tax rates. Deferred tax assets and liabilities are recognized for future tax consequence attributable to timing difference between taxable income and accounting income that are measure at relevant enacted tax rates. At each Balance sheet date the company reassesses unrealized deferred tax assets, to the extent they become reasonably certain or virtually certain of realization, as the case may be.

10. Provisions and contingent liabilities

Based on the estimates of the management, provisions are determined of the outflow of economic benefits which are required to settle the obligation as at the reporting date. Where no realizable estimate can be made, disclosure is made as contingent liability. A disclosure for a contingent liability is also made when there is a possible obligation that may, but probably will not, require an outflow of the Company's resources.

11. Cash flow statement

Cash flows are reported using the indirect method, whereby profit before tax is adjusted for the effects of transactions of non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. Cash flows from operating, investing and financing activities of the Company are segregated, accordingly.

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Note 2: Notes on accounts as per revised schedule VI

SHARE HOLDERS FUND

The Company has only one class of shares, referred to as equity shares having a par value of ₹ 10/- per share Each holder of equity shares is entitled to one vote per share. The right of the shareholders is governed by the Articles and Association and the Companies Act.

2.01 SHARE CAPITAL

A.

(Fig in ₹)

PARTICULARS	31st March 2024	31st March 2024
AUTHORISED CAPITAL :		
2,50,00,000 Equity Shares of ₹ 10/- each	25,00,00,000	15,00,00,000
ISSUED, SUBSCRIBED & PAID UP CAPITAL :		
1,10,00,160 Equity Shares of ₹ 10/- each	11,00,01,600	11,00,01,600
	11,00,01,600	**11,00,01,600**

B Details of Share Holding of more than 5% shares are set out below

Name of shareholder	No. of share held	No. of share held
Avinash N. Shende	51,00,000	51,00,000
% of Share holding	46.36%	46.36%
Sachin P. Pande	51,00,000	51,00,000
% of Share holding	46.36%	46.36%

Note No. 2.1 (a) The Reconciliation of the No. of Shares outstanding at the beginning and at the end of the period

Particulars	Figures as at the end of the previous reporting period	Figures as at the end of the previous reporting period
Equity Shares:		
Shares outstanding at the beginning of the year	1,10,00,160.00	1,10,00,160.00
Shares Issued during the year	-	-
Shares bought back during the year	-	-
Shares outstanding at the end of the year	1,10,00,160.00	1,10,00,160.00

Note No. 2.1 (b) The share holding of the Promoters

Name of shareholder	No. of share held	No. of share held
Avinash N. Shende	51,00,000	51,00,000
% of Share holding	46.36%	46.36%
% Change during the year	0.00%	0.00%
Sachin P. Pande	51,00,000	51,00,000
% of Share holding	46.36%	46.36%
% Change during the year	0.00%	0.00%

2.02 RESERVES AND SURPLUS

PARTICULARS	31st March 2024	31st March 2023
Retained Earnings		
Opening Balance	12,04,02,032	10,06,32,176
Add: Profit for the year	16,39,07,049	1,97,69,856
Less: Transfer to reserve, if any	-	
Less: Adjustments during the year, if any	(4,37,10,052)	-
Closing Balance	**32,80,19,133**	**12,04,02,032**
Total	**32,80,19,133**	**12,04,02,032**

RKAS & CO. CHARTERED ACCOUNTANTS

2.03 LONG TERM BORROWINGS

(Fig in ₹)

PARTICULARS	31st March 2024	31st March 2023
Secured		
Term Loans		
From Banks	12,20,80,370	12,65,41,191
Loans From Related Parties	1,42,54,203	1,38,99,408
Other Loans and Advances Payable	15,06,86,790	20,16,31,385
Unsecured		
Term Loans		
From Banks - Unsecured	8,48,965	58,00,710
From Other Parties - Unsecured	5,36,54,751	12,83,000
Total	**34,15,25,079**	**34,91,55,694**

Details of Long Terms Loans from Bank availed by company are stated as under:
Long term loans are from Bank of Maharashtra, Shankar Nagar Nagpur, Branch are secured by way of Property Held by Both Directors of the Company and Hypothecation of all fixed asset as appering in the balance sheet of the company.

2.04 OTHER LONG TERM LIABILITIES:

PARTICULARS	31st March 2024	31st March 2023
Creditors for Fixed Assets*	7,10,38,574	5,36,39,850
Total	**7,10,38,574**	**5,36,39,850**

*** Creditor for fixed asset contains amounts payable to parties for Software developments.**

2.05 LONG TERM PROVISIONS:

PARTICULARS	31st March 2024	31st March 2023
Provision for Employee Benefits	51,07,345	-
Total	**51,07,345**	**-**

2.06 SHORT TERM BORROWINGS:

PARTICULARS	31st March 2024	31st March 2023
Secured		
Loan Payable on Demand		
From Banks - Short Terrm	4,36,21,390	3,93,54,795
From Other Parties - Short Term	12,50,000	-
From Related Parties - Short Term	-	-
Total	**4,48,71,390**	**3,93,54,795**

Details of Cash Credit (Secured- Short Term) availed from bank.
1)Working capital loan is availed from Bank of Maharashtra, Shankar Nagar Nagpur Branch of ₹ 4 crores secured against the Hypothecation of Stocks and Receivables and collaterally secured by way of equitable mortgage on the properties held by both the directors of the company.
2) OD facility availed from Pusad Urban Credit Co-opertaive Bank, secured against Fixed Deposit.

2.07 TRADE PAYABLES

PARTICULARS	31st March 2024	31st March 2023
Trade Payable - MSME	-	-
Trade Payable - Others	10,78,58,599	9,24,23,770
Trade Payable - Disputed MSME	-	-
Trade Payable - Disputed Other	-	
Total	**10,78,58,599**	**9,24,23,770**

2.08 OTHER CURRENT LIABILITIES:

(Fig in ₹)

PARTICULARS	31st March 2024	31st March 2023
Interest accrued and due	1,08,000	16,077
Statutory Dues Payable	4,10,22,083	2,83,52,310
Advance from Customer	1,78,70,249	1,15,55,356
Audit Fees Payable	1,80,000	90,000
Rent Payable	1,41,259	1,26,259
Employees Payable	3,22,47,906	2,30,61,382
Other Expenses Payable	2,68,000	-
	9,18,37,497	**6,32,01,384**

2.09 SHORT TERM PROVISIONS:

PARTICULARS	31st March 2024	31st March 2023
Provision for Employee Benefits - Short Term	5,96,780	-
Provision for Taxation	6,20,08,478	1,36,42,000
Total	**6,26,05,258**	**1,36,42,000**

2.11 NON CURRENT INVESTMENTS

PARTICULARS	31st March 2024	31st March 2023
Investments in Equity Instruments	-	-
Total	**-**	**-**

2.12 DEFERRED TAX LIABILITY / (ASSETS)

PARTICULARS	31st March 2024	31st March 2023
Deferred Tax Asset / Liability		
Depreciation as per Companies Act	6,00,45,823	-
Depreciation as per Income Tax Act	5,96,32,598	-
Difference in WDV	4,13,225	-
Deffered Tax Asset / Liability	**99,730**	**-**
Expenses of Current Year Disallowed as per IT	-	-
Total DTL	**-**	**-**
Expenses of Prior Period allowed in Current Year as per IT	-	-
	-	**-**
Deffered Tax Asset / (Liability)	**99,730**	**-**
Net Deferred Tax Liability (DTL) at the beginning of the year	32,482	-
Net	99,730	2,46,785
Net Deferred Tax (Asset)/Liability as at Balance Sheet date	**1,32,212**	**6,04,048**

R K A S & CO. CHARTERED ACCOUNTANTS

2.13 LONG TERM LOANS AND ADVANCES

(Fig in ₹)

PARTICULARS	31st March 2024	31st March 2023
Unsecured, considered good		
Loans and Advances to Related Parties	-	-
Loans and Advances from Others	13,33,627	-
Total	**13,33,627**	**-**

2.14 OTHER NON-CURRENT ASSETS

PARTICULARS	31st March 2024	31st March 2023
Security Deposits	2,06,14,510	6,08,400
Total	**2,06,14,510**	**6,08,400**

2.15 INVENTORIES :

PARTICULARS	31st March 2024	31st March 2023
Finished Goods	10,76,618	7,39,584
Total	**10,76,618**	**7,39,584**

2.16 TRADE RECEIVABLES:

PARTICULARS	31st March 2024	31st March 2023
Trade Receivables outstanding for a period exceeding six months from the date they were due for payment		
Unsecured : Considered Good More than 6 Months	2,16,68,581	1,24,12,006
Other trade receivables		
Unsecured : Considered Good Less than 6 Months	23,17,99,024	22,10,31,018
Total	**25,34,67,605**	**23,34,43,024**

2.17 CASH AND CASH EQUIVALENTS:

PARTICULARS	31st March 2024	31st March 2023
Cash In Hand	14,113	51,346
With Banks in Current Accounts	38,37,514	98,99,922
Bank deposits Maturity More than 12 Months	2,16,16,851	1,97,07,861
Total	**2,54,68,478**	**2,96,59,129**

2.18 SHORT TERM LOANS AND ADVANCES:

PARTICULARS	31st March 2024	31st March 2023
Unsecured Considered Good		
Others		
Advance to Creditors	2,77,17,390	1,00,67,846
Employee Advances	1,19,40,068	68,80,529
Loans and Advances to Related Parties	-	3,36,26,886
Loans and Advances from Others	5,79,71,554	2,14,03,810
Total	**9,76,29,012**	**7,19,79,071**

2.19 OTHER CURRENT ASSETS:

PARTICULARS	31st March 2024	31st March 2023
Balance With Statutory Authorities	3,05,85,966	1,82,81,847
Total	**3,05,85,966**	**1,82,81,847**

R K A S & CO. CHARTERED ACCOUNTANTS

2.20 REVENUE FROM OPERATIONS:

(Fig in ₹)

PARTICULARS	31st March 2024	31st March 2023
Sales of Goods and Services	59,00,91,325	48,86,63,777
Export Revenue	4,49,53,818	10,81,39,432
Total	**63,50,45,143**	**59,68,03,209**

2.21 OTHER INCOME :

PARTICULARS	31st March 2024	31st March 2023
Other Income	-	3,96,876
Interest Received	4,78,589	4,46,745
Profit on Sale of Shares	33,600	-
Foreign Exchange Gain / Loss	2,09,052	-
Total	**7,21,241**	**8,43,621**

2.22 COST OF MATERIAL CONSUMED

PARTICULARS	31st March 2024	31st March 2023
Material Consumed		
Opening Stock Material	-	-
Purchase Of Material	20,03,57,331	32,20,98,783
Closing Stock Of Material	-	-
Total	**20,03,57,331**	**32,20,98,783**

2.23 CHANGES IN INVENTORIES OF STOCK IN TRADE:

PARTICULARS	31st March 2024	31st March 2023
Closing Stock at the end of the year	10,76,618	7,39,584
Less : Opening Stock at the beginning of the year	7,39,584	4,55,180
Total	**(3,37,034)**	**(2,84,404)**

2.24 EMPLOYEE BENEFITS EXPENSES :

PARTICULARS	31st March 2024	31st March 2023
Salaries,allowances and other benefits	7,40,30,804	10,80,45,799
Contribution to Provident and other Funds	76,56,947	32,55,701
Total	**8,16,87,751**	**11,13,01,500**

2.25 FINANCE COSTS:

PARTICULARS	31st March 2024	31st March 2023
Finance Cost	2,16,87,122	2,67,12,551
Other Borrowing Cost	30,71,713	3,73,615
Total	**2,47,58,835**	**2,70,86,166**

RKAS & CO. ★ CHARTERED ACCOUNTANTS ★

2.26 DEPRECIATION AND AMORTISATION

(Fig in ₹)

PARTICULARS	31st March 2024	31st March 2023
Depreciations	6,00,45,823	6,03,17,627
Amortisations	-	-
Total	**6,00,45,823**	**6,03,17,627**

2.27 OTHER EXPENSES:

PARTICULARS	31st March 2024	31st March 2023
Direct Expenses		
ATM Service Charges	12,36,572	-
Data Entry Charges	14,50,000	8,85,758
Domain Renewal Client	72,839	-
Technical Charges Paid	96,36,363	63,70,231
Site Development Expenses	6,29,080	32,44,250
SMS Services	16,09,615	-
Total	1,46,34,469	1,05,00,239
Indirect Expenses		
Business Promotion Expenses	28,40,631	59,48,757
Electricity Exp.	29,13,252	32,84,704
Indirect Taxes	3,58,112	-
Insurance Expenses	38,090	-
Internet Expenses	29,59,214	-
Legal & Professional Charges	50,08,700	38,75,635
Licence and Certifications	1,70,280	51,362
Office Expenses	34,80,826	39,69,161
Postage & Courier	4,14,064	-
Printing and Stationery	1,37,138	5,94,641
Penalties and Charges	1,79,589	5,81,495
Rent Expenses	17,38,000	17,03,720
Repair & Maintenance Expenses.	2,62,290	10,96,379
ROC and Secretarial Expenses	1,80,500	4,80,650
Security Service Charges	43,896	1,30,696
Telephone Exp	-	32,21,467
Travelling & Conveyance Exp	78,49,293	78,56,130
Transportation Expenses	49,537	5,77,051
Auditor Remuneration		
a) Audit Fees	1,80,000	90,000
b) Taxation Matters	-	-
c) Company Law Matters	-	-
	2,88,03,412	3,34,61,848
Total	**4,34,37,881**	**4,39,62,087**

2.28 CONFIRMATION OF BALANCES

The Company has not generally called for confirmation from trade payables,trade receivables, unsecured loans,loans and advances,deposit from parties/deposit with the parties etc. Management has however,confirmed that these accounts are scrutinised and that these are current and are recoverable and payables.

2.29 DISCLOSURE UNDER MICRO, SMALL AND MEDIUM ENTERPRISES DEVELOPMENT ACT, 2006

The Company has not received any information from its vendors regarding their status under Micro, Small and Medium Enterprises Develeopment Act, 2006. Nonetheless, there are no amounts for a period beyond the stipulated period as specified under the said Act.

2.30 PREVIOUS YEARS FIGURES

Previous year's figures have been regrouped / reclassified wherever necessary to correspond with the current year's classification / disclosure under Schedule III of the Companies Act 2013.

R K A S & CO. CHARTERED ACCOUNTANTS

VIRTUAL GALAXY INFOTECH PVT. LTD.
Consolidated Financial Statements as at 31st March 2024

NOTE 2.10 - PROPERTY PLANT AND EQUIPMENTS

Tangible Assets

(Fig in ₹)

Particulars	GROSS BLOCK (AT COST)				ACCUMULATED DEPRECIATION				NET BLOCK	
	As on 1st April 2023	Additions for the year	Deductions during the year	As on 31st March 2024	As on 1st April 2023	Additions for the year	Deductions during the year	As on 31st March 2024	As on 31st March 2024	As on 31st March 2023
Property Plant And Equipments										
Land	-	-	-	-	-	-	-	-	-	-
Land and Buildings	-	-	-	-	-	-	-	-	-	-
Machinery	45,61,93,288		-	45,61,93,288	21,94,04,327	4,92,11,326	-	26,86,15,653	18,75,77,635	23,67,88,961
Motor Vehicles	55,649	-	-	55,649	55,649	-	-	55,649	-	-
Furnitures and Fixtures	27,61,222		-	27,61,222	26,66,938	40,344	-	27,07,282	53,940	94,284
Office Equipments	8,73,334		-	8,73,334	7,76,861	59,433	-	8,36,294	37,040	96,473
Capital Work In-Progress	9,00,23,655	21,48,82,342	-	30,49,05,997	-	-	-	-	30,49,05,997	9,00,23,655
TOTAL	**54,99,07,148**	**21,48,82,342**	**-**	**76,47,89,490**	**22,29,03,775**	**4,93,11,103**	**-**	**27,22,14,878**	**49,25,74,612**	**32,70,03,373**

Intangible Assets

Particulars	GROSS BLOCK (AT COST)				ACCUMULATED DEPRECIATION				NET BLOCK	
	As on 1st April 2023	Additions for the year	Deductions during the year	As on 31st March 2024	As on 1st April 2023	Additions for the year	Deductions during the year	As on 31st March 2024	As on 31st March 2024	As on 31st March 2023
Banking & ERP Software	21,09,71,357	3,06,56,802	1,16,97,834	22,99,30,325	9,92,27,004	1,07,34,720		10,99,61,724	11,99,68,601	11,17,44,353
TOTAL	**21,09,71,357**	**3,06,56,802**	**1,16,97,834**	**22,99,30,325**	**9,92,27,004**	**1,07,34,720**	**-**	**10,99,61,724**	**11,99,68,601**	**11,17,44,353**

Intangible Assets Under Development

Particulars	GROSS BLOCK (AT COST)				ACCUMULATED DEPRECIATION				NET BLOCK	
	As on 1st April 2023	Additions for the year	Deductions during the year	As on 31st March 2024	As on 1st April 2023	Additions for the year	Deductions during the year	As on 31st March 2024	As on 31st March 2024	As on 31st March 2023
Software Under Development	5,01,08,296	7,64,39,948	-	12,65,48,244	-	-	-	-	12,65,48,244	5,01,08,296
TOTAL	**5,01,08,296**	**7,64,39,948**	**-**	**12,65,48,244**	**-**	**-**	**-**	**-**	**12,65,48,244**	**5,01,08,296**

TOTAL	**81,09,86,801**	**32,19,79,092**	**1,16,97,834**	**1,12,12,68,059**	**32,21,30,779**	**6,00,45,823**	**-**	**38,21,76,602**	**73,90,91,457**	**48,88,56,022**

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